

THE WALL STREET JOURNAL.

What's News

Business & Finance

◆ **Delta Air Lines** said it expects its rapidly expanding luxury and corporate customer base to overtake the sales it gets from fliers who buy economy seats by 2027. **B1**

◆ **Major U.S. stock indexes** retreated after a number of sharp rallies in recent weeks, with the S&P 500, Dow and Nasdaq falling 0.3%, 0.5% and 0.1%, respectively. **B8**

◆ **Unofficial figures** being scrutinized in the temporary absence of federal data show that the U.S. labor market is losing steam. **A2**

◆ **First Brands Group**, the automotive supplier that collapsed into bankruptcy last month after the discovery of accounting irregularities, is facing a criminal investigation by the Justice Department. **B1**

◆ **PepsiCo** said it would refresh its Lay's potato chip brand and tapped Walmart executive Steve Schmitt to fill its top finance role effective Nov. 10. **B1, B2**

◆ **Regulators** opened another investigation into Tesla's automated driving technology, saying the system "induced" some cars to run red lights or turn into oncoming traffic. **B1**

◆ **Fast Retailing**, the Japanese owner of Uniqlo, said it expects earnings to rise despite the impact of U.S. tariffs, after profit for the previous fiscal year exceeded consensus estimates. **B3**

◆ **HSBC** offered **\$13.6 billion** to take full control of Hang Seng bank as it endeavors to improve HSBC's profit in Hong Kong. **B3**

◆ **Orsted** will cut about 2,000 jobs by 2027 as the renewable-energy company scales back operations. **B2**

World-Wide

◆ **Israel's government** approved an agreement brokered by the Trump administration to free the remaining hostages held by Hamas and establish a cease-fire in Gaza, sealing a diplomatic breakthrough. **A1, A8**

◆ **The Justice Department** secured an indictment against New York Attorney General Letitia James following an investigation into mortgage fraud allegations, expanding the Trump administration's campaign to prosecute the president's political adversaries. **A1**

◆ **A judge blocked Trump** from federalizing or deploying National Guard members to Illinois for two weeks, saying continuing to militarize the response to local protests was likely to cause civil unrest. **A3**

◆ **Police reports** in the month leading up to Trump's decision to send federal troops to Portland, Ore., are at odds with statements by Trump and others in his administration about conditions in the city. **A3**

◆ **China's newest** restrictions on rare-earth materials would mark a nearly unprecedented export control that stands to disrupt the global economy. **A1**

◆ **The income brackets** that determine how much tax Americans pay each year are moving up for 2026, with a bigger bump for the lowest brackets. **A2**

◆ **The British government** faced accusations of mollifying Beijing after prosecutors suddenly dropped charges against two alleged Chinese spies. **A6**

◆ **Hungarian novelist** László Krasznahorkai, known for his dense prose and apocalyptic themes, was awarded the Nobel Prize in Literature. **A16**

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The Mideast accord brought celebrations Thursday in Tel Aviv by supporters of the Israeli hostages being held by Hamas, top, and by Palestinians in the Gaza Strip, above. Under the deal, the captives would be freed as a step to ending the war in Gaza.

Trump's Upside-Down Strategy Delivers Foreign Policy Victory

President Trump's announcement that he ended the two-year war in Gaza rested on an unorthodox strategy of declaring victory first and forcing others to fill in the details to make it a reality.

He turned upside-down the traditional playbook for solving international crises, in which diplomats work behind the scenes to iron out differences between warring parties, before world leaders swoop in and announce a deal.

As mediators pored over maps and prisoner lists in Egypt's Red Sea resort of Sharm El Sheikh late Wednesday night, Trump signaled that he would be flying to the region to mark a deal that was still unfinished.

His gambit is that no one, including hard-liners on both sides of the war, will say no to him, and that the professionals will sort it out.

"We ended the war in Gaza," Trump said at the White House on Thursday, congratulating special envoy Steve Witkoff, Secretary of State Marco Rubio and his son-in-law Jared Kushner for their roles.

Yet even as Trump took a victory lap, technical teams were trying to resolve the details of many of the substantive issues that had derailed previous rounds of talks, with Hamas officials warning negotiators in Sharm El Sheikh that they could still walk away if key demands weren't met.

This includes the exact withdrawal lines for Israeli troops and a list of Palestinian prisoners to be freed in exchange for Israeli hostages, people familiar with the talks said.

U.S. negotiators in Egypt concluded that the deal was "close enough" for Trump to announce it on Wednesday evening, a senior U.S. official said.

A day later, they were still

Drug Rehabs Angle For Insurance Money

Promises of glamorous facilities give way to a harsher reality, patients say

By ZUSHA ELINSON AND JULIE WERNAU

SIMI VALLEY, Calif.—Penny Lamb and Jeffery Lichtenberg were 1,500 miles from their home in Oklahoma with no money and no prospects when they were kicked out of their drug rehab program.

None of it had gone as expected. Months earlier, Lichtenberg said, a man he knew from a past prison stay had promised to help if they ever wanted to kick their meth

habits. The man texted photos of rehabs that looked like Hollywood mansions for movie stars, with swimming pools and hot tubs. They wouldn't have to pay a cent, he said, including for their flight to California—and he would help them sign up for a health insurance policy that would cover the rehab costs.

When they arrived, the facilities looked nothing like the photos, the couple said. They were shuttled between properties where illicit drugs

D.C. Bars Woo Federal Workers With 'Unhappy Hour' Specials

Owners push 'debt dogs' and 'Furlough-ritas' to keep seats filled with government closed

By ANVEE BHUTANI

WASHINGTON—Union Pub has been here before. A Capitol Hill institution for three decades, the bar survived the last shutdown in 2018, when owner Matt Weiss learned to cope with unpredictability.

"We're the well-stocked living room of Capitol Hill," he

joked. "Instead of watching a baseball game, you can watch a political game."

Threats of a shutdown have become so routine that his team no longer scrambles at the first hint of an extended break. "You don't want to prepare too early," he said.

But when it became clear

China Squeezes U.S. In Rare-Earth Move

By AMRITH RAMKUMAR AND LINGLING WEI

China's newest restrictions on rare-earth materials would mark a nearly unprecedented export control that stands to disrupt the global economy, giving Beijing more leverage in trade talks and ratcheting up pressure on the Trump administration to respond.

The rule, put out Thursday by China's Commerce Ministry, is viewed as an escalation in the U.S.-China trade fight because it threatens the supply chain for semiconductors. Chips are the lifeblood of the economy, powering phones, computers and data centers needed to train artificial-intelligence models. The rule also would affect cars, solar panels and equipment for making chips and other products, limiting countries' ability to support their own industries. China produces about 90% of the world's rare-earth materials.

Global companies selling goods with certain rare-earth materials sourced from China accounting for 0.1% or more of the product's value would need permission from China, according to the new rule. Tech companies will probably find it extremely difficult to show that their chips, the

New York Attorney General Indicted As President Presses to Punish Foes

ALEXANDRIA, Va.—The Justice Department has secured an indictment against New York Attorney General Letitia James following an initial adversarial.

A federal grand jury on Thursday indicted James, a Democrat, on charges of bank fraud and making false statements to a financial institution, both felonies, according to court documents. Her first court appearance is set for Oct. 24.

The case was presented by Lindsey Halligan, President Trump's former personal lawyer whom he installed as the U.S. attorney for eastern Virginia after other officials there raised doubts about charging James and another Trump critic, former FBI Director James Comey. Halligan last month secured the indictment of Comey on charges that he lied to Congress five years ago. Comey pleaded not guilty on Wednesday, and his lawyer has said he plans to ask a judge to dismiss the case as politically motivated.

The cases against Comey

Israelis Approve Deal for Cease-Fire In Gaza

Accord with Hamas could spur plan for war's end, where uncertainties persist

SHARM EL SHEIKH, Egypt—Israel's government approved an agreement brokered by the Trump administration to free the remaining hostages held by Hamas and establish a cease-fire in Gaza, sealing a diplomatic breakthrough after months of failed talks.

By Summer Said, Jared Malsin and Anat Peled

The deal, which President Trump announced from the White House on Wednesday, promises to close a major wound opened by the Oct. 7, 2023, Hamas-led attacks in southern Israel and give momentum to the effort to end a two-year war that has left tens of thousands of Gazans dead and the enclave in ruins.

The deal will bring the first significant pause in fighting since March, and the administration hopes it will be the first step toward a settlement that will involve talks over the disarmament of Hamas and the formation of an interim government to oversee Gaza.

U.S. troops began to arrive in Israel on Thursday, the first of about 200 being sent to support the cease-fire in Gaza as part of an international team, according to U.S. officials. The cease-fire went into effect with the vote by the Israeli government.

U.S. Central Command will be leading an international stabilization force and set up a civil military coordination center that could include Egypt, Qatar, Turkey and the United Arab Emirates, a senior U.S. official said, speaking on the condition of anonymity.

The troops will help monitor the implementation of the

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◆ Five things to know about the Gaza deal..... A8